

Making Sense of Macro

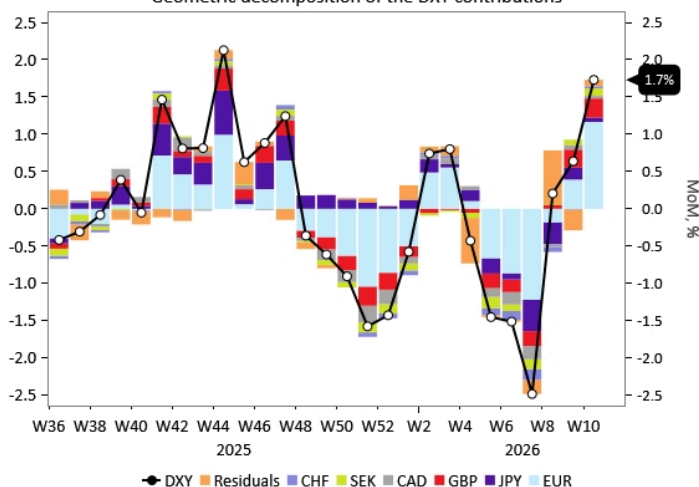
Global Themes Interrupted

- **USD smile is back:** energy/supply-shock dynamics favor the US vs Europe/Asia → USD safe-haven bid re-asserts. Gold exposed to higher rates, while EMFX moves reflect a mix of carry unwind and renewed terms of trade shock (we like BRL, MXN vs CLP, COP).
- **Macro + correlations:** USD ranks top-tier on growth/inflation signals; USD is reconnecting with 2y/10y differentials while curve-shape link breaks down. Macro regime starting to evolve into something less friendly.
- **Risk + positioning:** MOOD flips risk-off (credit/vol led recently). GPS shows USD not overbought → stay long USD vs EUR/CHF/GBP/SEK. Our macro tools argue for tactical downside in AUDNZD and NOKSEK.

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Exceptionalism stages a comeback. The USD has regained its safe haven appeal, signaling a return of the USD smile, and we think the rally has room to extend in the weeks ahead. Several forces are at work, led by rising geopolitical stress and uncertainty. While the USD has traded weaker versus traditional geopolitical uncertainty measures in recent years, that relationship is now shifting—reflecting the nature of the shock. This episode is increasingly about **energy prices and negative supply shocks**. As in 2022, the US and the USD are relatively insulated given energy self-reliance and favorable terms of trade position. Europe and parts of Asia sit on the other side of this shock, particularly with **European gas inventories already low after a cold winter**. Crude oil is up >75% from the December 2025 lows, and markets are now working through the second order effects of a rapid spike in energy costs. Investors remain skeptical that policy actions alone can quickly ease these constraints—most notably around potential disruptions to global energy supply routes. The result has been a broader repricing of global macro assets: **higher volatility, higher yields and breakevens, a stronger USD, and weaker equities**. In that environment, the return of USD exceptionalism looks less cyclical and more structural, especially given the stale narrative around USD weakness and consensus bearishness.

The USD stages a comeback in late Q1
Geometric decomposition of the DXY contributions

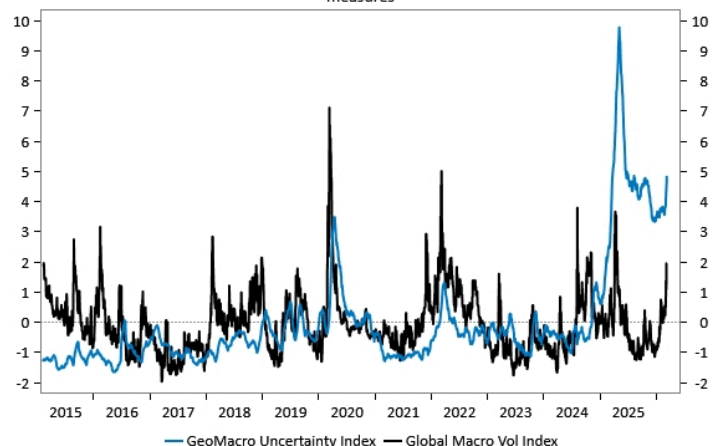


Source: BMO CM & Macrobond

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Global macro vol is trailing the rise in GeoMacro uncertainty

Global Macro Vol Index is a cross-asset composite, including equities, rates, FX, and commodities | GeoMacro Uncertainty is a composite of various geopolitical, trade, and economic uncertainty measures



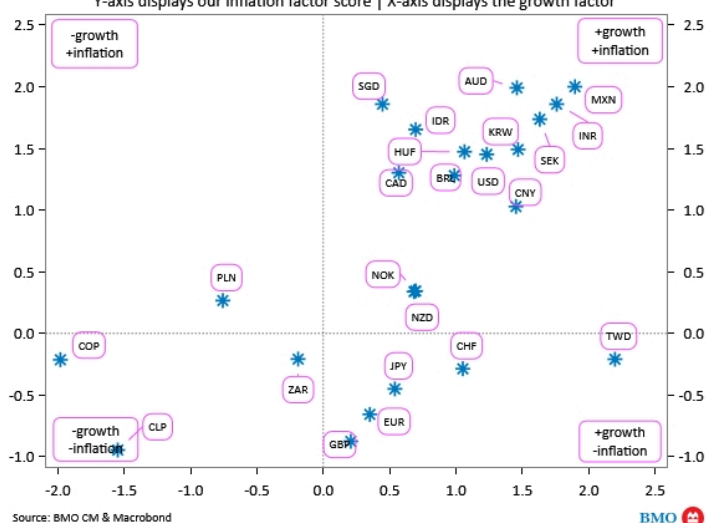
Source: BMO CM & Macrobond

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There's more to the move than simple risk-on/risk-off. Recent price action across global markets reflects an intersection of positioning and short-term valuation, the prevailing narrative, and the latest macro shock. FX moves, in particular, are not just about risk aversion or crowded positioning. A more important theme is that the US macro backdrop has improved—both absolutely and relative to the rest of the world. Our high-frequency growth and inflation factors place the **USD among the strongest currencies across the G10 and EM universe**. As shown in the first chart, the USD sits firmly in the top-right quadrant—the most constructive macro position—alongside a small group of currencies including **MXN, AUD, BRL, and KRW**. By contrast, **EUR, GBP, CHF, and JPY** sit in the lower half of the distribution, reflecting a deceleration in inflation momentum. While growth remains positive for several of these economies, the **USD growth signal sits above both the G10 and EM aggregates and is still accelerating**. This configuration suggests the US macro story is stronger than what is currently priced, while Europe's outlook looks increasingly fragile. Consistent with this shift, **the USD's correlation structure is changing**. As shown in the second chart, the dollar is re-engaging with 2y and 10y rate differentials, while its relationship with the shape of the yield curve has effectively broken down. In other words, **the familiar “weaker USD, steeper curve” dynamic is off the table for now**.

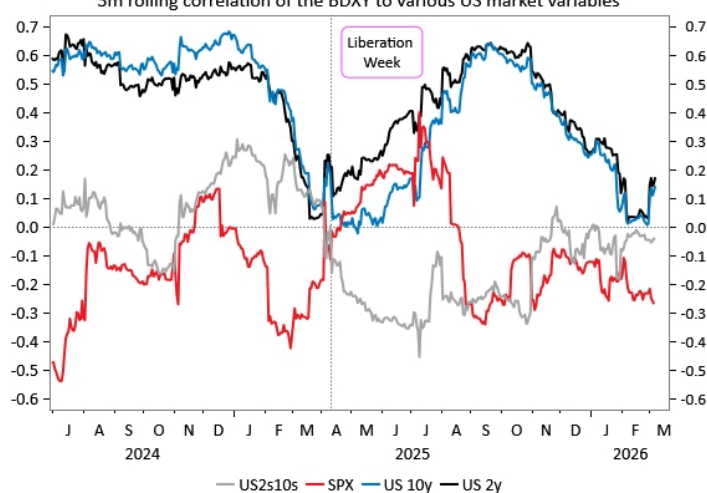
Who's got the best growth and inflation mix?

Y-axis displays our inflation factor score | X-axis displays the growth factor



The USD is starting to reconnect with rates - less fussed about yield curve

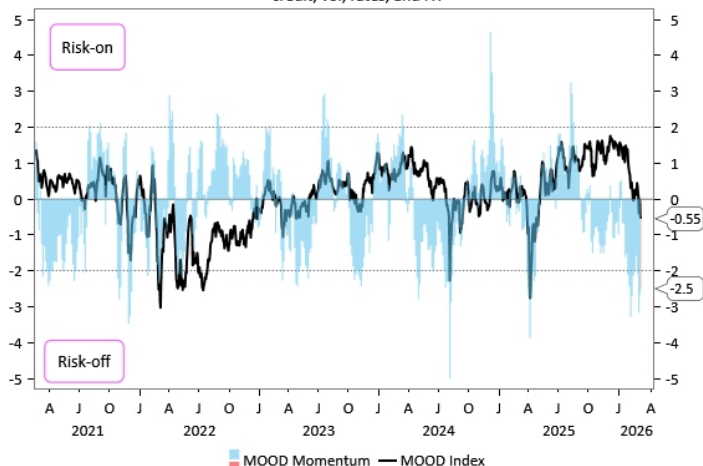
3m rolling correlation of the BDXY to various US market variables



Safe havens aren't equal. One extension of recent market themes is that some traditional havens are no longer doing their job. **Our risk-sentiment index (MOOD) has flipped decisively into risk-off territory for the first time in nearly a year**, with the speed of the move notable. The main drivers have been the credit and volatility components; equities and fixed income had been dragging the index lower earlier this year, but not enough to trigger a full risk-off signal. Our global macro framework (MAPS) treats this as a growth shock, with uneven implications across countries and currencies. That's also showing up in shifting FX relationships to MOOD. A spike in risk-off is now **broadly bullish for the USD and gold**—a clear change from last year. By contrast, CHF and JPY, while still havens, are behaving more like pro-cyclical currencies, falling as MOOD deteriorates. For JPY, this likely reflects the energy-driven nature of the shock and a negative terms of trade impulse; for CHF, rising SNB discomfort with currency strength and renewed intervention risk are key. The broader message is clear: when MOOD sours, the **USD strengthens**, increasingly versus TWD, ZAR, BRL, AUD, MXN, HUF, PLN, and EUR. **We continue to prefer USD longs against low-yielding G10 currencies such as EUR, CHF, GBP, and SEK.**

Global Risk Sentiment

The MOOD Index is an equally weighted composite of cross-asset risk appetite across equities, credit, vol, rates, and FX

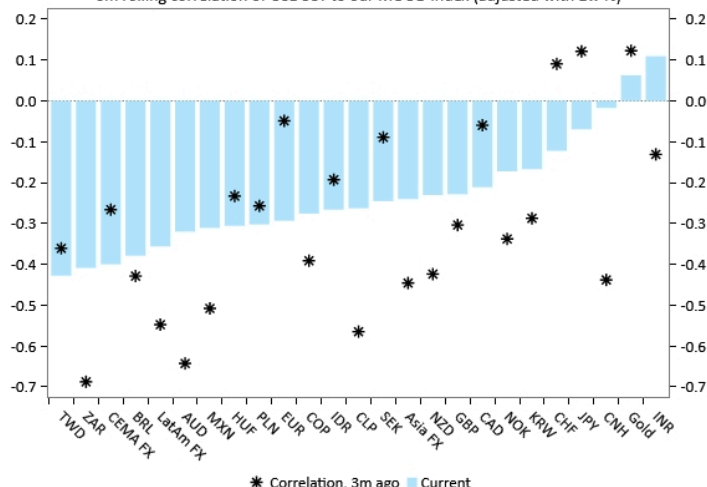


Source: BMO CM & Macrobond



Benchmarking FX correlations to our risk appetite index, MOOD

6m rolling correlation of USDCCY to our MOOD Index (adjusted with 1w %)



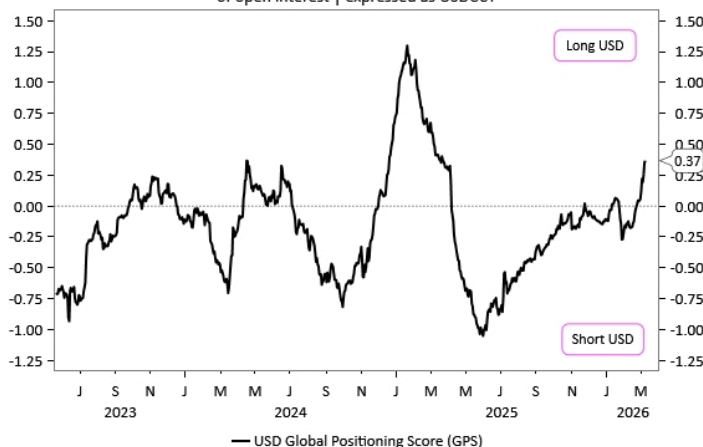
Source: BMO CM & Macrobond



Is the USD overbought? In short: no. Our positioning indicator, **GPS (Global Positioning Score)**, shows the market has only recently flipped from short to long USD. The first chart plots our broad USD measure, aggregating G10 and EM positioning. It highlights the sharp swing around Liberation Day—from extreme longs to extreme shorts in a matter of months—but since bottoming last summer, USD shorts have been gradually reduced, not abruptly reversed. At current levels, USD positioning does not look stretched, and we don't see extreme positioning as a reason to fade the move. The composition of GPS shows USD longs are more pronounced versus EM than G10. Under the hood, **MXN shorts look somewhat extended**, which argues for patience. **We prefer waiting for better levels to sell CADMXN, with our macro-factor framework placing fair value around 13.30.** Elsewhere, AUD and CLP remain vulnerable to a further unwind of long positioning. While risk-reversal signals in both have shifted toward USD strength, CTA and macro hedge fund components remain long, suggesting positioning has further room to normalize. We also continue to like **selling AUDNZD**, with macro factors pointing toward a move closer to **1.13**. **NOKSEK** also screens as carrying a meaningful risk premium versus these factors, pointing to fair value closer to **0.94**.

GPS: Broad USD positioning, including G10 and EM

Global Positioning Score (GPS) includes the following inputs: CTA proxy rule, PC1 of risk reversal curve, 3m rolling beta to macro hedge fund performance and local data surprises, and net specs % of open interest | expressed as USDCCY

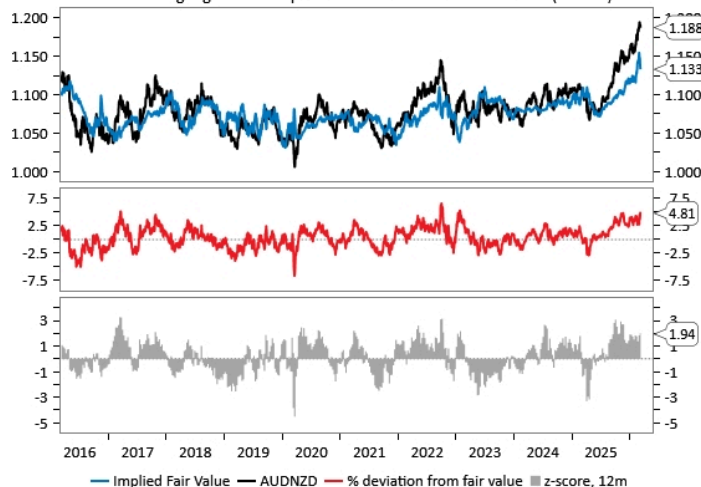


Source: BMO CM & Macrobond



Time to fade the rally in AUDNZD

12m rolling regression of spot to our Global Macro Factors PCA (PC1-P4)



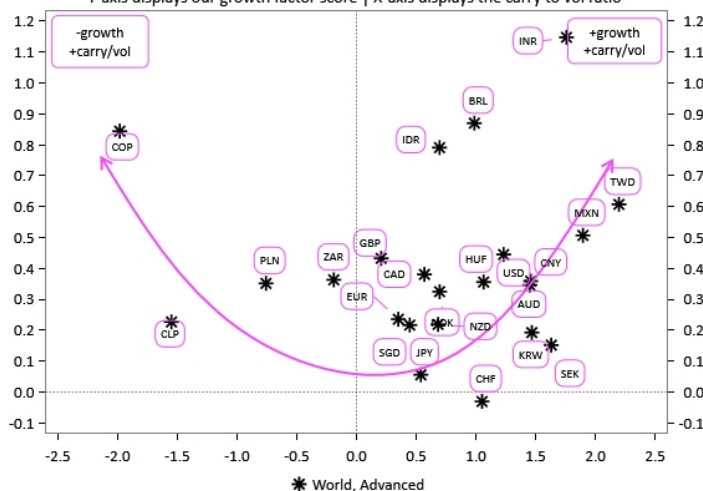
Source: BMO CM & Macrobond



What's next for carry? EM is increasingly being split by a mix of **terms of trade and positioning**. The latter reflects crowded exposure in popular carry trades such as **BRL, HUF, ZAR, and IDR**. Over the past six months, our global macro framework (**MAPS**) shows that the **growth factor dominated market dynamics**, supported by a softer USD, easier monetary policy, and a contained term premium—an ideal backdrop for carry. Risk-adjusted returns across several EM currencies were strong, reinforcing capital inflows into EM carry strategies. **Is carry done? For now, we think so.** While our positioning indicator (**GPS**) shows a sharp unwind in some of the most crowded EM carry trades, we do not see a swift resolution to the recent rise in geopolitical uncertainty. Crude oil has pushed toward **\$100/bbl**, and Iran's response to recent developments has heightened regional instability. The risk is a deepening negative feedback loop—particularly if tensions extend to ports, shipping lanes, or critical infrastructure—which would likely mark the next phase of the EMFX adjustment. That setup increasingly resembles **2022**, where FX performance was driven by a **terms of trade shock**, favoring **oil exporters over importers**. As the second chart shows, most currencies have adjusted rationally, moving broadly in line with their implied terms of trade beta. However, several currencies still trade at a **material premium**, including **HUF, KRW, MXN, BRL, NOK, and AUD**. We think this risk premium will eventually create **better buying opportunities**, particularly in **BRL and MXN**, which still offer an attractive mix of growth and carry—especially versus LatAm peers. For now, however, we continue to **prefer staying long the USD**.

Finding the right balance between carry and growth

Y-axis displays our growth factor score | X-axis displays the carry to vol ratio

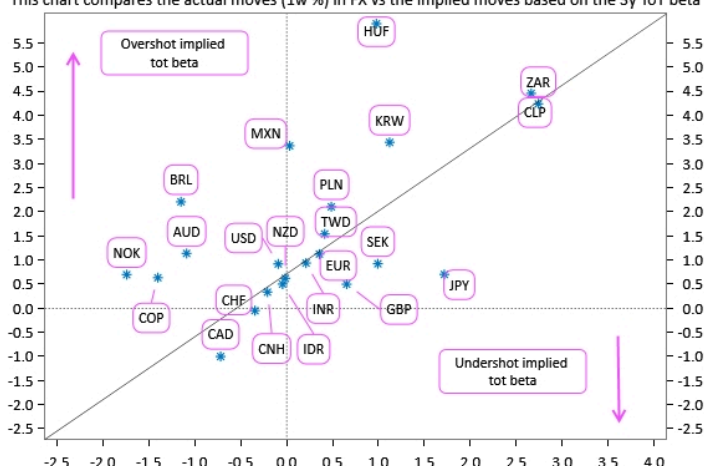


Source: BMO CM & Macrobond



How much of a risk premium was priced into FX vs the terms of trade move?

This chart compares the actual moves (1w %) in FX vs the implied moves based on the 3y ToT beta



Source: BMO CM & Macrobond



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